Fund Index returned only 2.1% annualized those 12 years. After adjusting for fees charged by FOFs and for survivorship and backfill biases, Lack estimated that from 1998 through 2010 investors collectively lost $308 billion, while the hedge fund industry earned fees of $324 billion. According to Lack, hedge funds have taken 84% of investor profits since 1998, funds of funds have taken 14% of profits, and only 2% has gone to investors. Lack further noted that if all the money ever invested in hedge funds had instead been put in Treasury bills, investors would have been twice as well off.

Dichev and Yu (2009) conducted a similar study using dollar-weighted hedge fund returns from 1980 through 2008. They found that dollar-weighted returns were 3 to 7% lower than buy-and-hold returns. Using factor models for risk, the authors found the real alpha of hedge funds to be close to zero. In absolute terms, weighted hedge fund returns were reliably lower than the return on the S&P 500 index.

Not only have hedge fund returns been lacking but also hedge fund risks have been high due to high leverage, lack of transparency, and limited liquidity. Castle Hall Alternatives, which maintains a database of hedge fund frauds and blowups, reports more than 300 frauds and implosions over the past decade. The average hedge fund lifespan has been about five years. Out of an estimated 7,200 hedge funds that existed in 2010, 775 failed or closed in 2011, 873 in 2012, and 914 in 2013. Within those three years, around one-third of all funds disappeared with new ones taking their place.

Hedge fund diversification value has also been declining. According to Deutsche Bank, the average correlation of hedge funds to the S&P 500 (based on monthly returns over a four-year rolling window) has risen from under 0.50 in the mid-1990s to over 0.80 now. Fourteen of the 18 hedge fund strategies suffered their worst-ever drawdown at the same time in 2008, despite their pursuing what appeared to be different strategies in different markets.

With standard annual fees of 2% of assets and 20% of profits, hedge funds distinguish themselves more as a compensation structure than as an asset class. Collectively, the top 25 hedge fund managers regularly earn more than the combined compensation of all 500 CEOs of the S&P 500. Hedge fund managers, in aggregate, have captured most or all of any excess return and have given little or none of it to investors. According to Warren Buffett, “A number of smart people are involved in running hedge funds. But to a great extent their efforts are self-neutralizing, and their IQ will not